NORTHSTAR DISTRIBUTION LTD

Q3 2026 Board Performance Review

Management meeting pack | Period: 1 July - 30 September 2026 | Prepared: 14 October 2026

Purpose of meeting: Review Q3 commercial and delivery performance, examine risks, and decide on a proposed KES 2.4 million service-recovery investment. This is a fictional test document designed to evaluate analytical dashboard generation.

At a glance

Revenue	Operating profit	On-time delivery	Customer complaints
KES 51.0m	KES 10.0m	87%	133

Decisions requested

Approve or reject a KES 2.4m service-recovery plan; confirm owners for delivery reliability and customer-service actions; and review the timetable for Q4 follow-up.

Document status

Illustrative, not an actual company report. All figures, people and decisions are fictional. KES million values are used unless otherwise stated. Financial figures are management estimates and are not audited.

1. Executive assessment

Northstar ended Q3 with the highest quarterly revenue of 2026 to date, reaching KES 51.0m, up from KES 46.0m in Q2. Operating profit held at KES 10.0m because operating costs increased from KES 36.0m to KES 41.0m. The operating margin therefore declined from 21.7% in Q2 to 19.6% in Q3.

Operational performance did not keep pace with commercial growth. On-time delivery fell to 87% from 90% in Q2 against the company target of 95%. Customer complaints increased to 133 from 96. Management attributes part of this deterioration to two vehicle breakdowns and an East-region warehouse staffing gap; those explanations are preliminary and have not been independently verified.

The board is being asked to consider a KES 2.4m recovery plan. The proposed investment is not included in Q3 actual operating costs, and no return-on-investment forecast has been verified.

Key issues for decision

Issue	Why it matters	Management request
Delivery reliability	8 percentage points below the 95% target in Q3	Approve fleet and staffing recovery plan
Cost pressure	Costs rose KES 5.0m from Q2 while operating profit remained flat	Require monthly cost control review
Customer experience	Complaints rose from 96 to 133 quarter-over-quarter	Approve service-response improvement actions

Evidence limitations

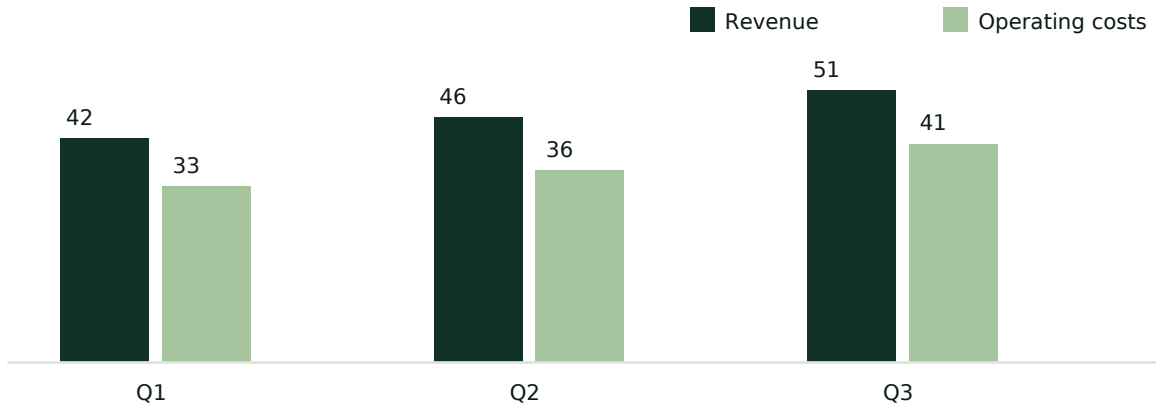
This report uses internally supplied management figures. Customer complaints are counted as cases received, not as unique affected customers. The regional revenue split has been reconciled to Q3 reported revenue, but no customer-level sales ledger is provided. Explanations for service deterioration are hypotheses pending operational audit.

2. Financial performance

Financial results by quarter (KES million)

Measure	Q1 2026	Q2 2026	Q3 2026
Revenue	42.0	46.0	51.0
Operating costs	33.0	36.0	41.0
Operating profit	9.0	10.0	10.0
Operating margin	21.4%	21.7%	19.6%

Quarterly revenue and operating costs (KES million)



Q3 revenue by region (KES million)

North	East	West	Total
21.0	16.0	14.0	51.0

Q3 operating costs by function (KES million)

Logistics	Payroll	Warehousing	Technology	Total
17.0	12.0	7.0	5.0	41.0

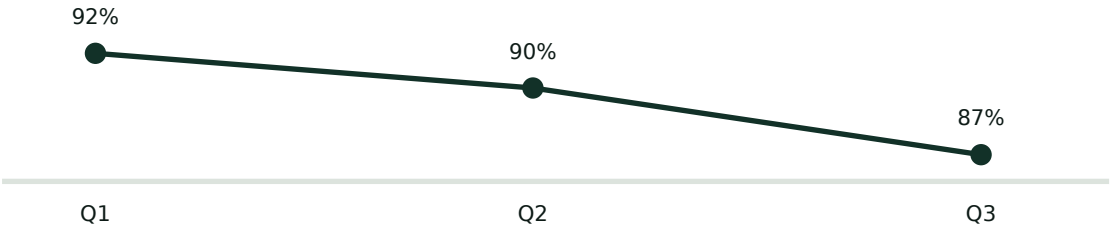
Financial interpretation

The Q3 regional revenue components sum to KES 51.0m. The Q3 cost categories sum to KES 41.0m. Operating profit equals revenue less operating costs (KES 10.0m). These reconciliations do not establish cash flow, tax, financing costs or net profit.

3. Operations and customer experience

Operational indicator	Q1	Q2	Q3	Q3 target
Shipments completed	12,500	13,700	14,900	14,500
On-time deliveries	92%	90%	87%	95%
Customer complaints	84	96	133	≤ 90
Employees (quarter-end)	112	118	123	Not set

On-time delivery and service complaints



Complaint counts: Q1 = 84 | Q2 = 96 | Q3 = 133

Interpretation

Shipment volume rose each quarter, but reliability weakened. Q3 on-time delivery was 8 percentage points below target. The Q3 complaint count exceeded the target ceiling by 43 cases. The report does not establish a causal relationship between staffing changes and delivery failures.

Operational evidence to collect

Operations will provide a route-level breakdown of late deliveries, fleet downtime logs, staffing rosters, and complaint categories before the November board follow-up. These records are not included in this pack.

4. Risk register and mitigation plan

Risk ID	Risk	Severity	Evidence / basis	Mitigation
R-01	Delivery reliability deterioration	High	Q3 on-time rate 87%; 95% target	Fleet maintenance and dispatch redesign
R-02	Rising operating cost	Medium	Q3 operating costs KES 41.0m vs Q2 36.0m	Monthly cost variance review
R-03	Complaint escalation	High	133 Q3 cases vs target ceiling 90	Response triage and weekly root-cause review
R-04	East-region staffing gap	Medium	Management assertion; audit pending	Validate rota and hiring plan

Proposed service-recovery budget

Initiative	Proposed funding (KES million)	Accountable owner
Fleet reliability intervention	1.20	Head of Operations
Warehouse staffing stabilization	0.75	People & Operations
Complaint triage tooling	0.45	Customer Experience
Total proposed	2.40	Chief Operating Officer

Risk controls

Funding is a proposal, not an approved expenditure. All four risks remain open as of 14 October 2026. Management has not supplied independent verification for R-04. The proposed budget is separate from Q3 actual operating costs.

5. Decisions, actions and deadlines

Item	Decision or action	Owner	Due date	Status
D-01	Board decision on proposed KES 2.4m recovery funding	Board Chair	23 Oct 2026	Pending
A-01	Submit route-level delivery failure analysis	Head of Operations	30 Oct 2026	Open
A-02	Implement complaint categorization and weekly review	Customer Experience Lead	06 Nov 2026	Open
A-03	Validate East-region staffing gap and corrective plan	People Operations Lead	06 Nov 2026	Open
A-04	Submit Q4 cost monitoring dashboard	Finance Director	13 Nov 2026	Open
M-01	Board follow-up to assess delivery recovery	Board Secretary	20 Nov 2026	Scheduled

Decision notes

Funding approval: No decision is recorded in this pre-meeting pack. Approval must not be inferred from the requested decision.

Operational accountability: Action owners are roles, not named individuals. No completion status is implied by the presence of a due date.

Success criterion for A-01 and A-02: Q4 on-time delivery target of 95% and a quarterly complaint target of 90 or fewer cases. These are future targets, not achieved results.

Questions for the board

Is the proposed budget proportionate to the documented service gap? What evidence is needed before attributing delays to fleet or staffing problems? Should the board require a monthly reporting cadence until on-time delivery returns to target?

6. Data dictionary and validation appendix

Definitions

Field	Definition
Revenue	Management-reported quarterly invoiced revenue; KES million
Operating costs	Quarterly operating expenditure in KES million, excluding proposed recovery funding
Operating profit	Revenue minus operating costs; not equivalent to net profit
Operating margin	Operating profit divided by revenue, expressed as a percentage
On-time delivery	Deliveries completed within promised service window, as a percentage
Customer complaints	Number of cases received in quarter; not unique customers
Q3 targets	Management targets specified for Q3, not actual results

Reconciliation checks

Check	Expected result
Q3 revenue minus Q3 costs	51.0 - 41.0 = KES 10.0m
Q3 regional revenue	21.0 + 16.0 + 14.0 = KES 51.0m
Q3 operating cost categories	17.0 + 12.0 + 7.0 + 5.0 = KES 41.0m
Q3 margin	10.0 / 51.0 = 19.6% rounded to one decimal
Proposed budget total	1.20 + 0.75 + 0.45 = KES 2.40m

Important constraints for automated analysis

Do not treat projected recovery outcomes as actual results. Do not describe proposed funding as approved. Do not treat the revenue categories as product categories. No net profit, cash flow, customer retention, or departmental headcount data is available. Preserve periods and units when graphing values. This pack is a controlled fictional fixture for testing document-intelligence software.